Discount Stacking Update

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WAYFAIR CONFIDENTIAL | 2026



Agenda

1. **What's changing** *Discounts now stack*
2. **What it means for B2B**
3. **What it means for item-level deals** *Flash, DOTD, and Doorbusters*
4. **Enablement** *How we support CM: comms, webinar, data, and net cost visibility*
5. **Q&A** *Live questions via Slido*

Q&A

Use the Slido to ask any questions you may have!



What’s Changing – Discount Stacking

Starting November 9th, B2B discounts and Item Level Deals (Flash Deals, Deals of the Day, Doorbusters) will stack on top of existing B2C discounts.

TODAY

No stacking - deepest discount wins

- A deeper B2C discount can wipe out a supplier's Everyday B2B discount entirely.
- A 5% Everyday B2B discount is eroded under a 10% Way Day promo — the Pro customer just gets 10% with no pro-price advantage.
- Suppliers rebuild the same discount by hand in every source room, for every event.

AFTER 11/9

Discounts stack

- Everyday B2B and item-level deals (Flash, DOTD, Doorbusters) stack on top of any live B2C promo.
- This is a backend calculation change, not a change to tools— suppliers still set Everyday B2B in Pricing Home.
- Other B2C discounts (events, weekend source room, superrooms) still **don't** stack with each other — no change there.

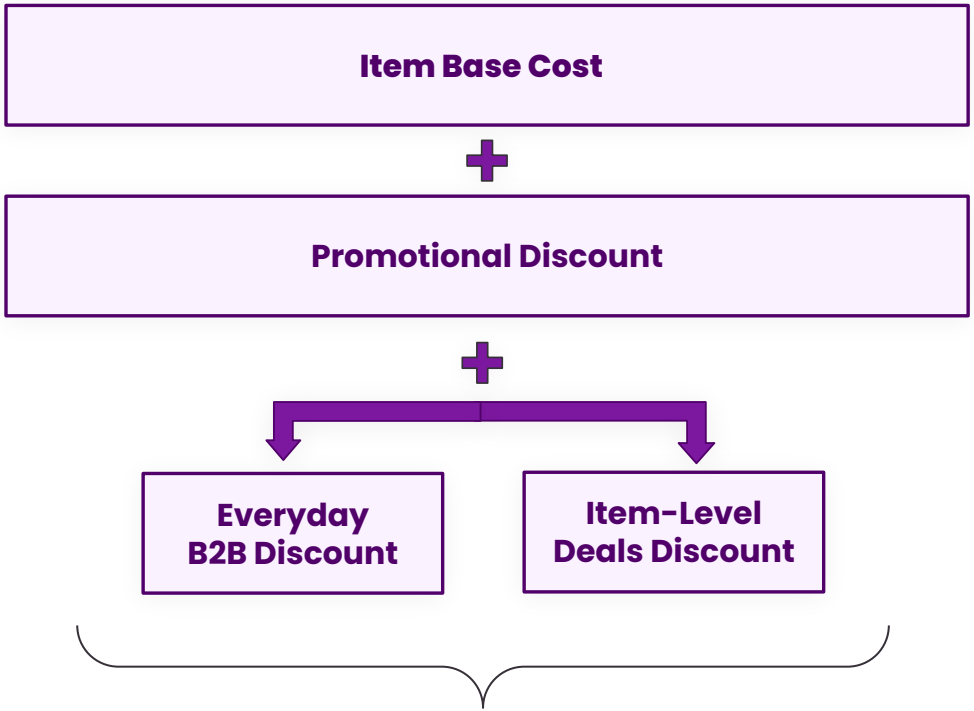
Why we're making this change

This change sets us up for a more intuitive pricing structure that aligns better to the highly promotional nature of our current pricing environment.

Our current stacking architecture is not as intuitive, and requires manual steps during every event to enable B2B discounts, as well as manual steps to ensure our item level deals are compliant during every major event.

This new structure moves us closer to a more straightforward process that allows our suppliers to achieve the outcomes they want more easily.

What does this look like?



These discounts **will now stack** on the lowest available cost, including promotional source rooms.

Example – How B2B discounts work today vs. after Nov 9th

	Current State – No stacking		After Nov 9th – stacking
	Example 1: *Everyday B2B only*	**Example 2: *Promo B2B discount***	**Example 1: *Same supplier – everyday 5%***
Base Cost	$100	$100	$100
Everyday B2B Discount	5%	5%	**5%**
Everyday B2B Cost	$95	$95	$100 - 5% = $95
Cyber 13 B2C Discount	10%	10%	10%
Cyber 13 B2B Discount	**0%**	**15%**	***Column removed***
B2C Promo Cost	$90	$90	$90
B2B Promo Cost	$90	$85	$90 - 5% = $85.5
Extra B2B vs. B2C	**0%**	**5%**	**5%**

Example - How discounts work today vs. after Nov 9th with B2B & Flash Deals

	Current State - No stacking		After Nov 9th - stacking
	Example 1: *Everyday B2B only & FD*	**Example 2: *Promo B2B discount & FD***	**Example 1: *Same supplier - everyday 5%***
Base Cost	$100	$100	$100
Everyday B2B Discount	5%	5%	**5%**
Flash Deal (B2C only)	**5%**	**15%**	**5%**
Cyber 13 B2C Discount	10%	10%	10%
Cyber 13 B2B Discount	**0%**	**15%**	***Column removed***
B2C Customer Cost	$90	$85	$85.5
B2B Customer Cost	$90	$85	$85.5
Extra B2B vs. B2C	**0%**	**0%**	**0%**
Flash Deal Discount	**0%**	**5%**	**5%**

Things to keep in mind

- Everyday B2B discounts will now stack on top of active B2C discounts, but they will **not** stack with item level deals.
    - Item level deals are B2C programs, so we do not want to have flash deals stacking on top of everyday B2B discounts on top of an event discount

- **Suppliers can change their B2B discount any time** using the Everyday B2B Discount in Pricing Home. Changes go into effect immediately.

- **If suppliers do not want their discounts to stack** during promotions or are unhappy with this change, you can guide them to change their B2B discount to the L90D average* instead of reducing their B2C discount to fund their B2B.
    - **L90D average is the effective discount provided in Discount Stacking Data sheet. Reflects the average actually effective B2B discount*

Timeline & Impact

Stacking will go live to suppliers on Nov 9 to capture the most benefit during Q4, both through realizing more B2B discounts, and more Flash Deals passing compliance.

If we achieve an average 5% effective B2B discount, we are forecasting $13M incremental B2B GRS in Q4.

We will communicate this change to suppliers on Sep 28.

Perigold: we have a process for handling the most sensitive suppliers to mitigate risk. More on future slides.



B2B Discounts

Thomas Welch

B2B Discounts are suppliers' primary B2B growth lever

- Everyday B2B Discounts **only show on the gated site**
- Pro customers **expect these discounts**
- Wayfair **drives exposure to Pro Pricing SKUs** via the Pro Price Flag, Pro Price Filter, and Pro Pricing Events
  - The Pro Price Filter is the **#1 filter on B2B site**
  - **13% of customers who click the filter convert** in the same session
  - **Sort improvements:**
    - Recently launched a test to favor SKUs with deeper B2B discounts in sort.
    - B2B Profit Aware Exposure will launch in Winter cycle

Suppliers invested in Everyday Pro Pricing

+1800 bps
B2B growth vs. those not investing

+1200 bps
B2B growth vs. B2C within those investing

Suppliers preserving B2B Discounts during Promotions

+2100 bps
Growth on SKUs with B2B discounts vs. those without during Way Day 2025

Currently, it's hard to maintain a B2B discount

A supplier wanted to provide a 5% line-wide discount…

1. Submit a line-wide 5% Everyday B2B Discount in Pricing Home Home
2. Submit a 5% incremental B2B Promotion Discount in all source rooms, including:
   a. Major Promotions
   b. Flash Sales
   c. Doorbusters
   d. Deals of the Day
   e. Closeouts
   f. Extended Discounts
3. If using Aisle Promotions:
   a. Upload an Everyday B2B Discount project with a incremental 5% on top of any Aisle Promotion discount
   b. Manually end the project when the Aisle Promotion ends
4. Add a 5% discount to new products in the PA 2.0 workflow



Stacking makes B2B discounts easier

A supplier wants to give a 5% line-wide discount…

1. Submit a line-wide 5% Everyday B2B Discount in Partner Home
2. Add a 5% discount to new products in the PA 2.0 product addition workflow

That's it.



Trade Discounts on SRB/PG

Our best B2B value for our best products.

- Discount stacking **does not change** approach to our SRB/PG Trade discount program
- **Always-on value** for Pros, designed to instill confidence in our brands most important to Interior Designers
- Suppliers that fund this discount will still see **elevated exposure in high-value channels**



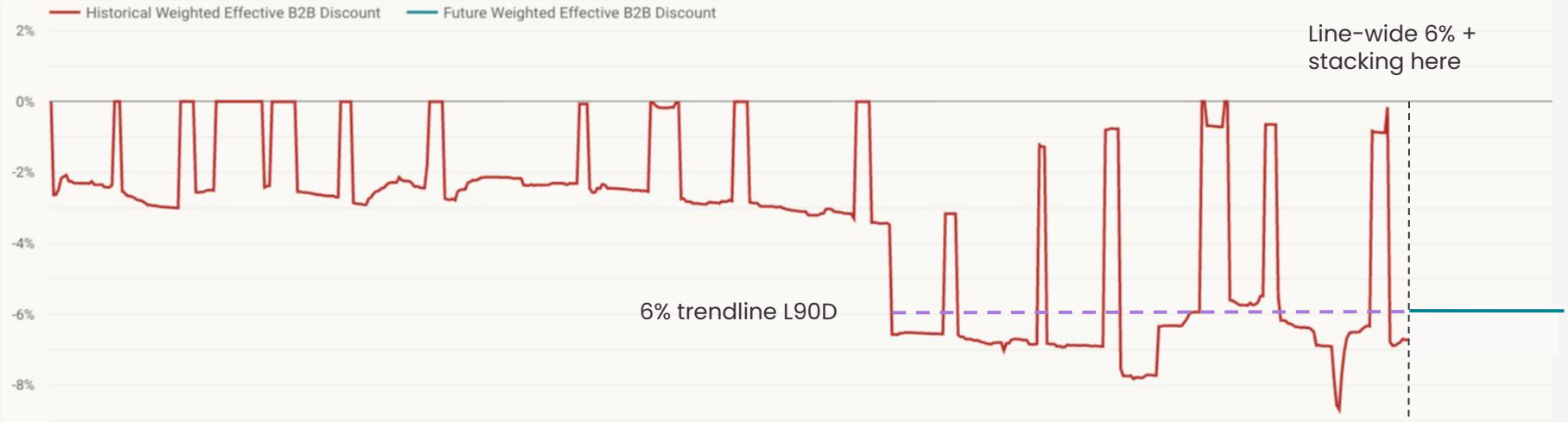
Supplier Example: Compamia

- Compamia has a **12% average Everyday B2B Discount.** They are **eroding** this discount in promotional source rooms, and their **average effective discount is ~6%.**
- **Ideal state in stacking:** They maintain 12% discount and stack on promotions. **If they cannot,** we recommend they adjust B2B Discount to 6% to stay neutral.
- This allows them to **stop manually adjusting B2B discounts** during promos and see stable business results.



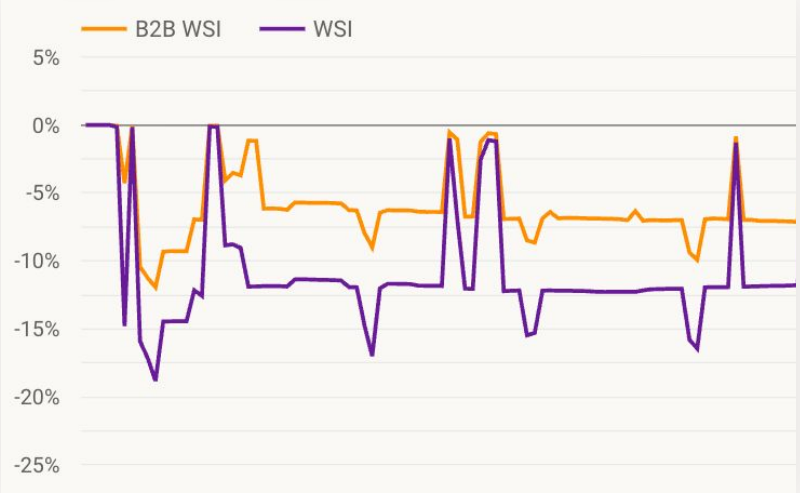
PG Supplier Example: Four Hands

- Four Hands has a **10% average Everyday B2B Discount.** When they participate in promotions, they are **eroding** this discount, leading their **effective discount over Labor Day to be ~1%** and their **average effective discount L90D to be ~6%.**
- **PG List Supplier:** They saw significant erosion during the Labor Day Promotion, leading to the assumption that they do NOT currently adjust their discounts to maintain or deepen B2B discounts during promotions. We will automatically adjust their B2B Discount to 6% for them to stay margin neutral, with supplier confirmation facilitated via Growth@.



Improved B2B Reporting

B2B WSI and FWSI



Effective B2B Discount



Coming Soon: B2B Discount Impact Reporting

Reporting found in Negotiation Hub

Item-Level Deals

Jenny Proctor

WHAT IT MEANS FOR ITEM-LEVEL DEALS

Item Level Deals will stack on the deepest B2C discount but will not stack on Everyday B2B discounts

- After 11/9, an item-level deal is incremental to the live B2C promo — that's why suppliers submit them. This impacts Flash Deals and Doorbusters
- They still don't stack with Everyday B2B. A Pro customer does not get a Flash Deal and Everyday B2B on the same item. They get the deepest of the two.
- They still don't replace the need for a real event cost — other B2C rooms remain deepest-wins with each other.
- We expect more SKUs to clear Flash Deal rules; the per-SKU Flash fee still applies. Dollar upside isn't modeled yet.

THE TRAP

10% + 5% + 5% ≠ 20%

A Flash Deal stacks on the event. It does not also stack on Everyday B2B — Pro customers don't get all three.

Flash 10% + Everyday B2B 5%

→ **10% (item-level deal wins on this item)**

Enablement

Caroline Rice

How we'll support you with data

Supplier level data is here. Dataset includes:

- Everyday B2B discount that will stack
- L90D average effective B2B discount (the discount to move to if supplier wishes to remain neutral)
- Flags for suppliers at risk of egregious discounts
- Buckets for supplier behavior and recommended actions

This doc is directional & includes average roll ups per supplier. Refer to Negotiation Hub for official sources of truth.	Follow up to ensure they understand the potential impact of stacking		*Primary ask: Keep Existing B2B Discount, just be aware that they will now stack. If that isn't feasible, see below recommendations*			*This is what suppliers initially committed to for B2B discounts (avg across supplier's catalog)*
Supplier Name	**Egregious Flag (Stacked discount will be >20% or significantly above their L90D average. Combination of K & L)**	**Perigold High Erosion Flag (Erosion during Labor Day, is > 75% of Everyday Discount)**	**Supplier Behavior (based on recent promos)**	**Recommended Approach (based on L90D average)**	**Rationale (based on L90D average)**	**Supplier Entered Everyday B2B Discount**
Safavieh			Limited Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-5.00%
Four Hands		Yes	Partial Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-10.00%
Karat Home Inc (14 Karat)			Partial Erosion	0% to stay neutral; 5% to grow business	L90D Effective discount <1%	-5.34%
Surya			Partial Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-6.80%
GigaCloud Trading, Inc.			Partial Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-3.75%
Loloi Rugs			Partial Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-6.65%
KUKA (HK) E-COMMERCE LIMITED			Partial Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-4.98%
Elegant Lighting	Yes		Partial Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-5.00%
Meridian Furniture			Limited Erosion	0% to stay neutral; 5% to grow business	L90D Effective discount <1%	-0.07%
EBELLO HOME INC_1			Partial Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-23.15%
The Stock Market			Limited Erosion	0% to stay neutral; 5% to grow business	L90D Effective discount <1%	-0.30%
The Distribution Point			No B2B Discount	0% to stay neutral; 5% to grow business	L90D Effective discount <1%	0.00%
Sterling Rivers			Partial Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-7.56%
Hooker Furniture			Limited Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-5.80%
YEEYOO INTERNATIONAL LIMITED			Limited Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-4.63%
Polywood			Limited Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-10.00%
NANJING HENGNING HOME FURNISHING CO., LTD.			Limited Erosion	0% to stay neutral; 5% to grow business	L90D Effective discount <1%	-0.08%
Butler			Limited Erosion	Maintain or stay neutral	L90D Effective discount is >4.5%	-6.98%
SPRINGDIAL (HK) E-COMMERCE LIMITED			Limited Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-0.70%
Modway Inc			Limited Erosion	Negotiate to 5%	5% is the minimum B2B discount allowed; c	-0.47%

How to prioritize supplier conversations

View this in Summary tab here

Flag	Calculation	Definition	Supplier Count	Recommended SRM Action Level	Recommended Action Details
Egregious Discount Flag	Stacked discount will be >20% or significantly above their L90D average	Suppliers flagged as egregious may see unintentionally high discounts when stacking goes live	733	High	**Required:** Proactively outreach to these suppliers to ensure they understand the impacts of stacking and can update their discounts accordingly. Taking action here prevents potential PO discrepancies down the line.
Perigold High Erosion	Erosion during Labor Day (currently BFIJ) is > 75% of their everyday discount	Suppliers here typically do NOT adjust their discounts for promotions. Stacking will lead to potentially unintentional high discounts	30	High	**Required:** Suppliers on this list will be added to our Sensitive Supplier list. Suppliers on this list will have their discounts automatically updated for them to reflect their effective discount over the last 90 days (keeps them margin neutral)

Supplier Behavior Bucket	Calculations	Bucket Definition	Supplier Count	Recommended SRM Action Level	Recommended Action Detail
Full Erosion	Effective discount during major promotions is 0%	Suppliers have provided B2B everyday discounts, but are seeing erosion during promotions.	22	High	**Recommended:** Follow up on the Growth@ to your suppliers to reiterate the recommended approach to either keep the existing discount - noting it will now stack, or move to the neutral discount, which is effectively what they'd been giving to B2B over the L90D. Recommendations and rationale are provided on All SUIDs tab *Note: If suppliers are not able to commit to the existing or neutral discount, they can change their B2B discount to some lesser amount or 0. Depth should NOT be pulled from B2C promos to fund B2B discounts*
Partial Erosion	Effective promotional discount is less than the supplier's everyday B2B discount	Suppliers have provided B2B everyday discounts, but at times, these are erode, lessening the impact of their B2B discount	2472	Medium	**Recommended:** Follow up on the Growth@ to your suppliers to reiterate the recommended approach to either keep the existing discount - noting it will now stack, or move to the neutral discount, which is effectively what they'd been giving to B2B over the L90D. Recommendations and rationale are provided in All SUIDs tab *Note: If suppliers are not able to commit to the existing or neutral discount, they can change their B2B discount to 0. Funds should NOT be pulled from B2C promos to fund B2B discounts*
Limited Erosion	<1% difference between everyday B2B discount and promotions	Little to no discount erosion today. These suppliers tend to manually adjust their discounts during promotions to prevent erosion.	888	Low	**Optional Outreach:** The bulk of the ask will be included in the Growth@ emails sent to your suppliers. It is up to SRMs to ensure suppliers read this, are aware of the changes, and make any necessary adjustments on their side.
No B2B Discount	0% everyday B2B discount	Suppliers who do not currently have Everyday B2B Discounts in place	10217	N/A	**No action required.** These suppliers will be provided with an FYI, but there is no impact to their existing costs.

Perigold: How to prioritize conversations

View this in Summary tab here

Supplier bucket	Definition	Action	Sensitive Supplier List?
Perigold High Erosion Flag / Sensitive Supplier	B2B discount during Labor Day gets eroded by >75% (i.e. goes from 10% to 2.5%)	Move supplier to L90D effective B2B discount. Pre upload it for them. SRM to communicate this with suppliers what is happening.	Default to Sensitive Supplier list
Partial B2B Erosion during promo	B2B discount gets eroded between 5% and 75%	SRM Review - Default to Sensitive Supplier or SRM decision to move to Keep on Stacking Logic	Default to Sensitive Supplier list - but SRM can move them into normal stacking outreach if needed
Keep on Stacking Logic	B2B discount during Labor Day is 95% of their everyday B2B discount	SRM reiterate this is a win for suppliers, removed manual effort during promos	Keep on normal outreach
No B2B Discount	No everyday B2B discount	Supplier FYI - Doesn't impact you	Keep on normal outreach

We will support you through this launch in many different ways

For Suppliers:

1. **Growth@**:
    - 9/28: Announcement email, webinar invite
    - 10/6: Follow-up email with personalized data for non-sensitive list suppliers
    - 10/20: Follow-up email with personalized data for PG sensitive list suppliers
2. **Webinar (EN & MAN):** We will hold a supplier webinar in October which will fully explain the change. Suppliers will have the opportunity to ask questions.
3. **Partner Home Tech** -- new net cost visibility in PH will enable suppliers better visibility into what discounts are applied to get to their final WSC used for pricing.
4. **One Pager**
5. **Updated Help Center:** We'll update the Help Center so the Virtual Assistant will pick up this change and be able to answer your suppliers questions.

For SRMs:

1. **B2B CM InfoHub**
2. **Office hours:**
    - WGS: Wednesday 4-4:30 weekly
    - NA: Tuesdays & Thursdays 3:30 weekly
3. Slack channel for questions:
    - **#temp-stacking-questions-26**
4. **Data Sheet: Supplier level B2B impact data**
5. **Mock Negotiations (NA):** Will run 9/24 - 10/2 for Q4 pitch practice
    - Pairings here
6. **Talk tracks**
7. **Negotiation Hub B2B discounts**
8. Mandarin WeChat templates *(coming soon)*

Perigold Only: How we'll support your suppliers

Perigold suppliers that see erosion >5% during promotions will be added to the **Perigold Sensitive Supplier** list.

→ **We will waive the 5% minimum and change their discounts on their behalf to a neutral discount.**

Given we offer a 10% retail discount on Perigold and SRB suppliers, any discount helps fund this.

This list is opt out only.

Opt outs due 10/19.

Net Cost Stacking Logic

Varoon Wadhwa

Net Cost Visibility in Partner Home

Partner Home does not currently give suppliers the visibility into the discounts that apply to get to the supplier's final wholesale cost that's used for pricing.

To remedy this, we've built more robust visibility in PH into a supplier's *net cost*.

For any part, there will now be visibility into:

- The current base cost
- The active and upcoming discounts applied, and how the interact (stack vs. deepest discount applied)
- The final effective B2C and B2B wholesale cost used for pricing

Additionally, we will have better visuals for the suppliers' cost stack directly available in PH.

This new tech is slated to launch in early October, and is aimed to help suppliers when stacking launches.

Net Cost Visibility in Partner Home

Active and Upcoming Promotions

Name	Status
NA July Fourth/Canada Day - July 2026	Active
Summer Preview Sale	Submitted Not deepest
Flash Deal Friday 06/26	
NA Four Day Flash Sale - July 2026	
NA July Fourth/Canada Day - July 2026	

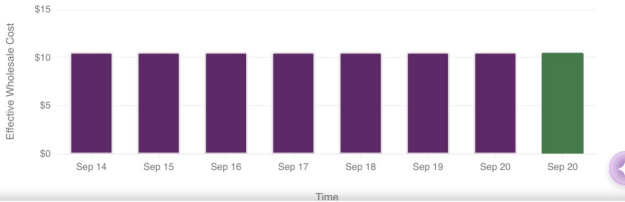
B2C | B2B

Effective B2C Wholesale Cost (USD) As of Today: 09/18/2026

$10.50

Base Cost	$15.00
NA Q3 Extended Discounts (July - Nov 2026) Active 30% | General B2C promotion	-$4.50
Effective B2C Wholesale Cost (USD)	$10.50

Effective Wholesale Cost Changes This Week



Effective Wholesale Cost



Live
M4899Q
Launched Jun 22, 2022

B2C | B2B

on Promotion Start Date
6/2026

B Wholesale Cost (USD)

	$89.00
rth/Canada Day - July 2026 Active eral B2C	-$13.35
2B Discount Active egment	-$3.28
2B Wholesale Cost (USD)	$72.37

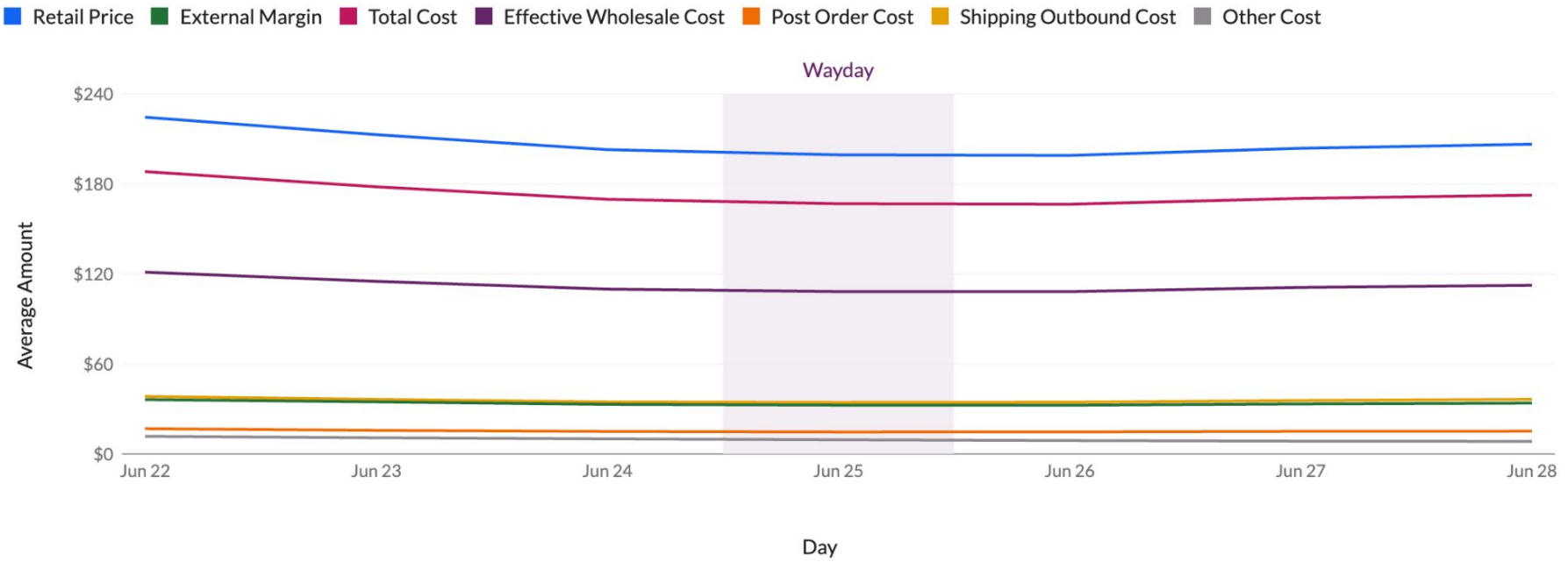
Pricing Home

Settings | Export Catalog | Download Report

Products | Cost Changes | Closeouts | CastleGate Markdowns | B2B Discounts

Pricing Over Time

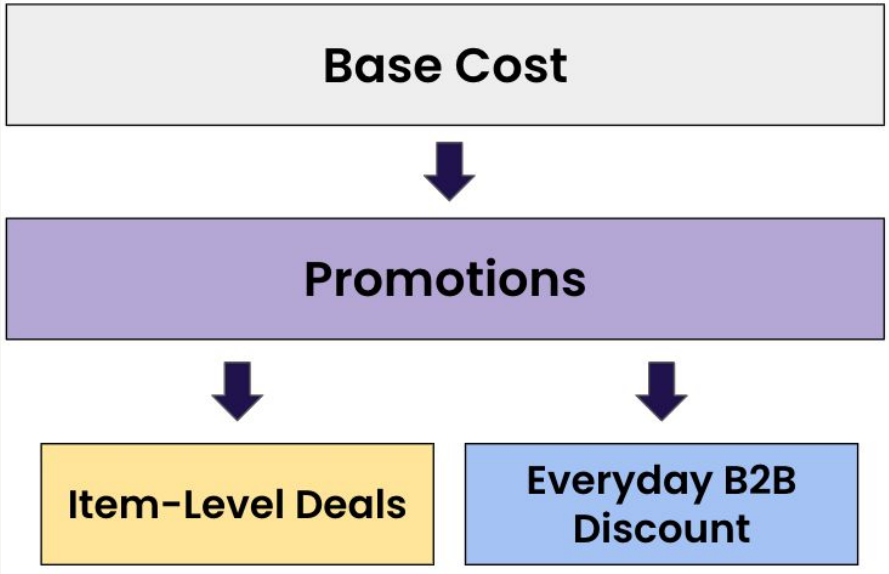
Compare



Discount Stacking Logic

Our new pricing logic ensures that the secondary pricing layer provides the incremental value that it is intended to.

This strategy ensures that promotional pricing does not erode the additional value props we seek to offer.



Wrap-Up

Caroline Rice

Wrap Up - Key things to know

1. Discount stacking is coming **Mon. 11/9**
2. **B2B everyday discounts** and **Item level Deals (Flash Deals, Deals of the Day, Doorbusters)** will apply on top of other B2C promotional costs (but not on each other)
3. We will notify suppliers on **Mon. 9/28** via **growth@**
4. **Review the supplier level data here,** and understand the impact to your suppliers.
    - Start by contacting the **Egregious Risk** & **Full or Partial Erosion** suppliers
5. **Reducing B2C discounts is never the right answer** to deal with this change!
6. For Perigold SRMs: Review suppliers to confirm they should be on the **sensitive supplier list** and have us manually move them to their effective discount.
7. Schedule your **mock negotiation** with your assigned lead to get practice in before the real thing

Resources

Thomas Welch

Resources *[consolidating into slide 26]*

- **B2B CM InfoHub**
- **One Pager**
- **Negotiation Hub B2B discounts**
- **Supplier level B2B impact data**
- Slack channel for questions - **#temp-stacking-questions-26**
- Office hours:
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